

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 21-09

**HAPAG-LLOYD, A.G. and HAPAG-LLOYD
(AMERICA) LLC. —POSSIBLE VIOLATIONS OF
46 U.S.C. § 41102(c)**

**PETITION OF RESPONDENT HAPAG-LLOYD AG FOR AN EXTENSION OF TIME
TO FILE EXCEPTIONS TO INITIAL DECISION**

Pursuant to 46 C.F.R. §§502.228 and 502.69(a), Respondent Hapag-Lloyd AG (“Respondent”), through undersigned counsel, hereby respectfully petitions the Federal Maritime Commission (“FMC” or “Commission”) for an extension of time to file exceptions to the initial decision of the administrative law judge in this matter (“Initial Decision”). The reasons supporting this request are set forth below.

I. Procedural History

This proceeding was initiated by an Order of Investigation and Hearing issued on November 10, 2021, in which the Bureau of Enforcement was named a party. The Commission established a truncated timeline for the completion of this proceeding, with discovery to be completed within 90 days after the service of the answer, and the initial decision to be issued within 75 days after the completion of discovery. This is half the normal time for a proceeding of this type.

The parties complied with this extremely demanding schedule, and concluded briefing on March 25, 2022. The Initial Decision, which was scheduled to be issued by May 18, 2022, was issued on April 22, 2022, almost a full month ahead of the deadline and less than 30 days after briefing was completed. Exceptions to the Initial Decision are currently due May 16, 2022, twenty-two (22) days after the issuance of the Initial Decision.

II. An Extension Of Time Is Warranted

An extension of time is warranted given the nature of the factual and legal issues in this case.

As the administrative law judge recognized in the Initial Decision, this is the Commission's first enforcement proceeding alleging a violation of the Interpretative Rule on Demurrage and Detention Under the Shipping Act, 85 FR 29638 (May 18, 2020), codified at 46 C.F.R. §545.5 ("Interpretative Rule"). Indeed, the Initial Decision is the first decision applying the Interpretative Rule.

There are several complex legal issues presented in this case that Respondent will raise in exceptions, and which require considerable time to brief properly (including related legal research, where relevant). These issues include: (i) improper interpretation and application of the incentive principle, which is at the core of the Interpretative Rule; (ii) improper and inconsistent findings with respect to the elements of a prima facie case under the Interpretative Rule; (iii) the administrative law judge's decision to quash a subpoena issued to the Commission; (iv) the admissibility of screenshots as evidence, which was not clearly addressed and which appears to have been handled in a manner inconsistent with relevant federal court precedent; and (v) errors in the application of applicable penalty standards and calculation of the penalty.

In addition to the foregoing, Respondent has identified and will need to brief no fewer than six errors with respect to material facts, including inconsistent and/or unsupported findings with respect to the availability and operation of appointments and with respect to instructions/procedures concerning the return of empty equipment.

There are also at least two instances of material errors in evaluating and improperly crediting conflicting testimony.

Briefing the foregoing issues will be difficult and time-consuming, particularly given the haste with which the record in this case was developed and the speed with which the Initial Decision was issued. Given the velocity of this proceeding to date and the importance of the issues under consideration, the parties and the Commission would benefit from allowing sufficient time to the parties to provide complete and fully developed briefing. In other words, an extension of the time to respond will serve to ensure that the rights and interests of the parties to a fair proceeding are preserved and that the issues under consideration are given clear and thoughtful consideration.

Fortunately, the speed with which the administrative law judge issued the Initial Decision means that the Commission may grant this extension request and keep this proceeding on the same schedule it would have followed had the administrative law judge taken the full time available to issue the Initial Decision.

In this regard, had the administrative law judge issued the Initial Decision on May 18 (which would have been consistent with the procedural schedule established by the Commission), exceptions would have been due on June 9, 2022. Respondent respectfully requests an extension of the deadline to file exceptions from May 16, 2022 to June 9, 2022.

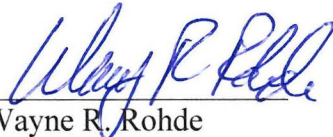
III. Concurrence of Bureau of Enforcement

In accordance with 46 C.F.R. §502.71, Respondent has conferred with BOE, which has authorized Respondent to state that BOE does not oppose this petition.

IV. Conclusion

In light of the foregoing, Respondent respectfully requests that the deadline to file exceptions to the Initial Decision in this proceeding be extended to June 9, 2022.

Respectfully submitted,



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May 9, 2022

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 9th day of May, 2022, the foregoing Petition for Extension of Time to File Exceptions was served via electronic mail on:

Benjamin K. Trogdon, Esq. (btrogdon@fmc.gov)

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